

1-5d Statement of Cash Flows

As discussed earlier, businesses engage in three types of activities. As a result, the statement of cash flows consists of the following three sections, as shown in [Exhibit 9](#):

1. operating activities
2. investing activities
3. financing activities

Cash Flows from Operating Activities

This section reports a summary of cash receipts and cash payments from operations. The net cash flow from operating activities normally differs from the amount of net income for the period. In [Exhibit 9](#), [NetSolutions](#) reported net cash flows from operating activities of \$2,900 and net income of \$3,050. This difference occurs because revenues and expenses may not be recorded at the same time that cash is received from customers or paid to creditors.

Cash Flows from Investing Activities

This section reports the cash transactions for the acquisition and sale of relatively permanent assets. [Exhibit 9](#) reports that [NetSolutions](#) paid \$20,000 for the purchase of land during November.

Cash Flows from Financing Activities

This section reports the cash transactions related to cash investments by stockholders, borrowings, and dividends. [Exhibit 9](#) shows that Chris Clark invested \$25,000 in exchange for common stock of [NetSolutions](#). NetSolutions also paid \$2,000 of dividends during November.

Link to Twitter

For a recent year, [Twitter](#) reported \$1,340 million of cash inflows from operating activities, \$2,056 million of cash used for investing activities, \$978 million of cash from financing activities, and net increase in cash of \$262 million.

Preparing NetSolutions' Statement of Cash Flows

Preparing the statement of cash flows requires that each of the November cash transactions for **NetSolutions** be classified as an operating, investing, or financing activity. Using the summary of transactions shown in **Exhibit 6**, the November cash transactions for NetSolutions are classified as follows:

Transaction	Amount	Cash Flow Activity
a.	\$25,000	Financing (Issued common stock)
b.	–20,000	Investing (Purchase of land)
d.	7,500	Operating (Fees earned)
e.	–3,650	Operating (Payment of expenses)
f.	–950	Operating (Payment of account payable)
h.	–2,000	Financing (Paid dividends)

Transactions (c) and (g) are not listed since they did not involve a cash receipt or payment. In addition, the payment of accounts payable in transaction (f) is classified as an operating activity because the account payable arose from the purchase of supplies, which are used in operations. Using the preceding classifications of November cash transactions, the statement of cash flows is prepared as shown in **Exhibit 9**.

The ending cash balance shown on the statement of cash flows is also reported on the balance sheet as of the end of the period. To illustrate, the ending cash of \$5,900 reported on the November statement of cash flows in **Exhibit 9** is also reported as the amount of cash on hand in the November 30, 20Y3, balance sheet.

Since November is NetSolutions' first period of operations, the net cash flow for November and the November 30, 20Y3, cash balance are the same amount, \$5,900, as shown in **Exhibit 9**. In later periods, NetSolutions will report in its statement of cash flows a beginning cash balance, an increase or a decrease in cash for the period, and an ending cash balance. For example, assume that for December NetSolutions has a decrease in cash of \$3,835. The last three lines of NetSolutions' statement of cash flows for December would be as follows:

Decrease in cash	\$(3,835)
Cash as of December 1, 20Y3	<u>5,900</u>
Cash as of December 31, 20Y3	<u><u>\$ 2,065</u></u>

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